

SOUND VALUE

In 1953, when I first began practical security analysis, Robert D. Hedberg and I, using an approach based on depression psychosis, constructed models of a declining economy, and then tested the earning power of companies under these pessimistic assumptions. As I recall, we assumed a 10% drop in GNP, came up with earnings figures, applied a normal P/E, and came up with a "sound value" price. Buy and sell points were 20% above and below sound value. Needless to say, not only were the assumptions pessimistic, but we also missed the whole point, i.e., that the economy's stability would be the basis for a spectacular rise in P/E's.

By whatever name, most investors of the late 1940's and early 1950's were doing essentially the same thing, letting the previous 20 years be the basis for their investment approach. The focus was on economic instability when it should have been on just the opposite. Fortunately, we had time to change and not miss the whole ball game, but the opportunity costs of the first several years were high.

COMPOUND ANNUAL GROWTH RATES

By the time of the 1957-58 recession, the U.S. economy had satisfied the backlog of demands that had accumulated during the depression and the war. National defense considerations, arising from the cold war and the Korean conflict, had led to the granting of fast writeoffs of expenditures for new capacity in basic industries under certificates of necessity. Not surprisingly, therefore, the raw and intermediate materials sectors had excess capacity. Yet, these were the very industries which had led the boom and had become investor favorites. By 1960, it became clear that earnings of these companies were in a cyclical pattern.